CAUTION STILL A RULING FACTOR

Nirmala Sitharaman can't err on the side of profligacy, but must find ways to stimulate the economy while easing suffering

By M.G. ARUN

Modi 2.0 did a successful job of navigating the economic effects of the pandemic, resisting the temptation to spend excessively on doles, confining itself instead to targeted spending. Nirmala Sitharaman, who held a steady guiding hand all through, may need a new tack this time. She has to rev up slothful sectors while easing mass distress. Expect higher social spends and capex outlays in her upcoming budget in July. It will be challenging, considering the global slowdown that is only just easing, and there is no quickfix for rising unemployment. She also has to steer inflation to tolerable levels amid fears of NPAs returning to the banking system. ■

▶WHAT NEEDS TO BE DONE

TIGHTENING BUDGET REINS The higher spend during the pandemic despite targeted relief saw fiscal deficit touch a record high in a decade. Though it has come down to 5.6% in FY24, the aim is to bring it under 4.5% by FY26. With rural distress on account of high prices and few jobs likely to have cost the BJP its majority, social sector spending could go up even as the capital expenditure on infrastructure will continue. The surplus Rs 2.11 lakh crore the RBI sent its way in May will help. As will the robust GST collections

SPURRING CONSUMPTION Private investment continues to lag, despite a reduction in corporate taxes early in Modi 2.0, improvements in the ease of doing business, and the production-linked incentive scheme. Blame it on the lack of demand, to boost which the govern-

NIRMALA SITHARAMAN, *64* | BJP

Minister of Finance; Corporate Affairs

↘ Studious past Born to a Tamil Iyengar family in Madurai, Tamil Nadu, Nirmala Sitharaman did her schooling from Madras and Tiruchirapalli. After graduating in economics, she came to Jawaharlal Nehru University for postgraduate studies

↘ A feisty start Nirmala joined the BJP in 2008 and was party spokesperson till 2014, and was a feisty presence in TV debates. She was inducted into the cabinet as a Rajya Sabha member from Andhra Pradesh

↘ Treasurer of the nation She was briefly MoS finance and corporate affairs in 2014, MoS commerce & industry (independent charge) from May 2014 to Sept. 2017 and defence minister from Sept. 2017 to May 2019, when she was handed finance, a portfolio she retains this term. She now represents Karnataka in the Rajya Sabha

Minister of State

PANKAJ CHAUDHARY, *59* | BJP



↘ Political journey Starting as an independent councillor in the Gorakhpur municipal corporation in 1989, Chaudhary has been seven-time MP from Maharajganj, UP, and will be serving his second stint as MoS finance